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CHAPTER

6 Distribution Analysis

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"Distribution accounts for the sharing of wealth produced by a community among the agents or owners of the factors which have been active in its production"

–Chapman

Learning Objectives

1. To acquire knowledge about distribution of income among the factors of production.
2. To enable the students to understand the theories of rent, wages, interest and profit.

6.1 Introduction

The factors of production viz., Land, Labour, Capital and Entrepreneur or Organization are involved in production. The theory of functional distribution deals with how the relative prices of these factors of production are determined. The theory of factor prices is popularly known as the theory of distribution. Interesting aspect here is in the fact that large number of ideas has emerged and various factors have been identified the economists, contributing to the development of Economics Science.

6.2 Meaning of Distribution

Distribution means division of income among the four factors of production in terms of rent to landlords, wage to labourer, interest to capital and profit to entrepreneurs.